UNITED STATES COPYRIGHT OFFICE

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Section 1201 Study: Notice and Request for Public Comment	*	**Comments of:** **Association of American Publishers, Motion Picture Association of America, Recording Industry Association of America**
	*	
Docket No. 2015-8	*	

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I. Interests of Commenting Parties

The Association of American Publishers ("AAP") is the largest national trade organization of U.S. book and journal publishers, representing over 400 members, ranging from major commercial book and journal publishers to small non-profit, university, and scholarly presses. AAP seeks to promote the effective and efficient protection of copyright to enable publishers and our technology partners to create and disseminate literary, scholarly, and educational works in new and convenient formats for consumers around the world to enjoy.

The Motion Picture Association of America, Inc. ("MPAA") is a trade association representing some of the world's largest producers and distributors of motion pictures and other audiovisual entertainment material for viewing in theaters, on prerecorded media, over broadcast TV, cable and satellite services, and on the internet. The MPAA's members are: Paramount Pictures Corp., Sony Pictures Entertainment Inc., Twentieth Century Fox Film Corp., Universal City Studios LLC, Walt Disney Studios Motion Pictures, and Warner Bros. Entertainment Inc.

The Recording Industry Association of America, Inc. ("RIAA") is the trade organization that supports and promotes the creative and financial vitality of the major music companies. Its members are the music labels that comprise the most vibrant record industry in the world. RIAA members create, manufacture and/or distribute approximately 85% of all recorded music produced in the United States.

The protections provided in Chapter 12 of Title 17 are extremely important to the members of AAP, MPAA and RIAA. These protections, which were put in place at a time of great uncertainty in the marketplace, resulted in the roll-out of numerous successful, first-generation digital products, such as DVDs, e-books and iTunes. Today, these protections continue to enable the exciting new business models that the publishing, motion picture, and music industries are currently using to disseminate their creative works. The Copyright Office should not recommend any Congressional action that would undermine the protections of Chapter 12, or impede these innovative new services and products.

II. Introduction and Summary of Comments

Because "the digital environment … allows users of electronic media to send and retrieve perfect reproductions of copyrighted material easily and nearly instantaneously, to or from locations around the world," the internet presents both amazing opportunities and significant risks. H.R. Rep. No. 105-551, pt. 1, 105th Cong. 2d Sess., at 9 (May 22, 1998). In 1998, when the Digital Millennium Copyright Act ("DMCA") was enacted to implement the World Intellectual Property Organization Copyright Treaty ("WCT") and the World Intellectual Property Organization Performances and Phonograms Treaty ("WPPT"), Congress understood that it was critically important for the United States to pass legislation to "make digital networks safe places to disseminate and exploit copyrighted materials." S. Rep. No. 105-190, 105th Cong., 2d Sess., at 2 (May 11, 1998). *See also Chapter 12 of Title 17, Hearing before the Subcommittee on Courts, Intellectual Property and the Internet ("Chapter 12 Hearing")*, 113th Con., 2d Sess., at 2 (Sept. 17, 2014) (opening remarks of Mr. Goodlatte) ("When the DMCA was enacted, there was significant concern that the digitization of our economy would result in mass piracy becoming an unfortunate reality for many copyright owners. TPMs were intended to enable copyright owners to engage in self-help to protect their works from theft.").

Since 1998, technological changes have made massive copyright infringement even more ubiquitous and profitable in markets worldwide. However, copyright owners and their partners, relying on the protections provided by Chapter 12 of Title 17, have worked to combat, and have tried to limit, infringement, in part, by launching new methods of disseminating books, journals, music, television programming, and movies that employ technological protection measures. As the Copyright Office has stated, "[s]ince the enactment of section 1201, the use of technological measures has been useful in expanding consumer choice and the avenues for dissemination of creative works …" Section 1201 Study: Notice and Request for Comments, 80 Fed. Reg. 81,369, 81,369 (Dec. 29, 2015) ("NOI"). Indeed, section 1201 of the DMCA "has worked to encourage the creation of new digital works and has allowed authors a way to protect against copyright infringement while also helping to promote the development of new and innovative business models." *Chapter 12 Hearing*, 113th Con., 2d Sess., at 2 (Sept. 17, 2014) (statement of Mr. Nadler). *See also id.* ("The digital economy has enabled wide distribution of movies, music, eBooks and other digital content. Chapter 12 seems to have a lot to do with the economic growth ...") (statement of Mr. Marino).

Every three years, during the triennial proceeding to consider proposed exemptions to section 1201(a)(1), the creative industries – including AAP, MPAA and RIAA – have submitted to the Copyright Office detailed summaries of the marketplace developments made possible by technological protection measures. Just a few examples of current and rapidly-evolving business models that are reliant on access controls include:

- Internet accessible movie collections, rental services, and subscription services, available through a variety of devices and platforms, including Amazon, Disney Movies Anywhere, Hulu, iTunes, Netflix and Ultraviolet.

- Music subscription services that enable both streaming and time-limited downloads, such as Apple Music, Spotify, and Xbox Music.

- Subscriptions to e-books through services like Amazon Kindle Unlimited.

The importance of technological protection measures to these business models, and the enormous success that they have underwritten since 1998, must remain front-and-center during the Copyright Office's consideration of proposals to revise Chapter 12. "We need to ensure that Chapter 12 remains strong to prevent piracy and to keep the United States competitive globally. .... An intellectual property system that protects copyrights incentivizes their owners to continue to innovate and that in turn, of course, creates jobs and strengthens our Nation's economy." *Id.* at 3-4 (statement of Mr. Conyers). Without the statute's legal prohibitions against circumventing access controls and trafficking in tools and services that enable circumvention of technological protection measures, investment in the creation of digital content and distribution would be curtailed. Copyright owners would face greater risks, which would adversely affect their ability to receive a reasonable return on their investments in creative content.

Moreover, the WIPO Treaties and the DMCA, as well as numerous Free Trade Agreements entered into since 1998, acknowledged that protections against circumvention needed to extend beyond measures which protect solely against acts of copying and distribution, and needed to cover access controls as well. While access controls on authenticated services do protect copyright interests by preventing actual infringement of exclusive rights, they also allow producers and distributors to offer content to consumers through a variety of business models based on the nature and extent of access afforded. *See MDY Industries, LLC v. Blizzard Entertainment*, 629 F.3d 928, 947 (9th Cir. 2010). This is as Congress intended. *See* S. Rep. No. 105-190, at 11 ("[I]f unauthorized access to a copyrighted work is effectively prevented through use of a password, it would be a violation of [section 1201(a)] to defeat or bypass the password and to make the means to do so…").

The quid pro quo for protections against circumvention of access controls was the so-called "fail safe mechanism" of the triennial Copyright Office rulemaking process, to ensure that exemptions can be granted in the public interest while taking into account the interests of right holders. *See* H.R. Rep. No. 105-551, pt. 2, 105th Cong., 2d Sess., at 36 (July 22, 1998) ("This mechanism would monitor developments in the marketplace for copyrighted materials, and allow the enforceability of the prohibition against the act of circumvention to be selectively waived, for limited periods of time, if necessary to prevent a diminution in the availability to individual users of a particular category of copyrighted materials."); H.R. Rep. No. 105-796, 105th Cong. 2d Sess., at 64 (Oct. 8, 1998) (Conference Report on final legislation as passed). For the most part, the rulemaking process has worked well. It has resulted in exemptions where proponents have presented evidence to the satisfaction of the Register, without creating exemptions that are so broad that they swallow the rule against circumvention. While AAP, MPAA and RIAA do have some concerns about certain exemptions and some procedural aspects of the rulemaking, they oppose changes that would diminish the effectiveness of technological protection measures broadly and discourage innovation by copyright owners and their authorized licensees.

In sum, the Copyright Office and Congress should proceed with great caution. Chapter 12 of Title 17 has worked effectively. Consumers enjoy access to a wonderful array of new methods of accessing works. Authors, publishers, musicians, songwriters, record labels, motion picture studios, and the thousands of people involved in delivering books, music and movies to the public – and a significant share of the 5.5 million Americans employed in the core copyright industries – also enjoy the benefits of these new lawful services, which enable consumers to learn about, sample and share the books, music and motion pictures that they love. *See* Stephen A. Siwek, *Copyright Industries in the U.S. Economy: The 2014 Report* at 2 (2014).

III. Responses to Questions

A. Section 1201's Role and Effectiveness

1. Please provide any insights or observations regarding the role and effectiveness of the prohibition on circumvention of technological measures in section 1201(a).

When section 1201 took effect in 1998, a question existed regarding whether the creative industries could effectively seize the opportunity presented by the internet and other forms of digital dissemination of copyrighted works. There was a significant threat that immediate and unlimited unauthorized copying, typically without any perceptible quality loss, would undermine the spread of legitimate, licensed services and products. Although widespread digital piracy has significantly harmed, and continues to harm, creative industries, the use of technological protection measures has acted as a check on that harm so that it can be lessened to support the continued growth of licensed services. As a direct consequence, the protections of Chapter 12 have enabled an enormous variety of flexible, legitimate digital business models to emerge and thrive – many of which rely on the specific form of access controls at the heart of section 1201(a)(1)(A). These models expand access to works while also enabling copyright owners to receive a reasonable return on their investments, which encourages the creation of new works. Technological measures have become commonplace and familiar to consumers, who enjoy a wide range of options for accessing expressive works at a variety of price points.

The entertainment industry and the publishing industry have transformed their businesses. Audiences have not been shy about their desire for seamless access to their favorite books, journals, music, movies and television shows, at the time, and on the device or platform, that works best for them; and the creative industries have heard them. Members of AAP, MPAA, and RIAA are continuously innovating to keep meeting the demands of their customers, and providing choices to keep audiences growing and diversifying. They are committed to continuing that innovation. They welcome and embrace the wide variety of new forms of distribution, because they provide new ways of offering content to consumers in the manner they want to enjoy it.

- *The Motion Picture and Television Industry*

Copyright protection under U.S. law continues to drive production and distribution of television programming and films to the public, including over the internet, by giving creators the exclusive right to determine how their content is disseminated. Recognizing the property right in content creates a marketplace in which creators, distributors, and viewers can enter into an assortment of evolving relationships as technology and consumer expectations change. Access controls and other TPMs are key enabling technologies for the healthy development of this burgeoning digital marketplace.

The current market landscape demonstrates the salutary results. The number of lawful online sources for television and movie content has exploded.[1] American audiences had access

[1] *See Rise of Innovative Business Models: Content Delivery in the Digital Age*, *Hearing before the Subcommittee on Courts, Intellectual Property and the Internet*, 113th Con., 1st Sess., at 13-20 (Nov. 19, 2013) (statement of John McCoskey, Executive Vice President and Chief Technology Officer, MPAA).

to 112 lawful online services at the end of 2014, compared to 65 at the end of 2011. They used these services to access 66.6 billion television episodes online, compared to 34.4 billion three years earlier and, lawfully accessed online 7.1 billion movies compared to 1.8 billion in 2011.

To meet this demand, the movie and television industry is making content available online to viewers on every type of in-home and mobile screen, including PCs and Macs, smart TVs, tablets and smartphones, gaming systems, and specialized devices, such as the AppleTV and Roku. Some of this content comes through internet applications offered by cable and satellite companies. Many content providers also offer programming directly to subscribers through their own authenticated applications, including popular, household-name networks such as A&E, ABC, CBS, CMT, Comedy Central, Disney, ESPN, Fox, Fox Sports, HBO, the History Channel, MTV, NBC, Showtime, Sony, Starz, TBS, TNT, and USA. Content providers also license programming to "over the top" (OTT) services. Subscription and pay-per-view OTT services include Amazon Prime, Facebook, Hulu Plus, iTunes, Netflix, Nintendo Network, PlayStation Network, Sling TV, Sony Vue, VUDU, Xbox Live and YouTube. Ad-supported OTT services include Crackle, Hulu, and YouTube. All of this benefits consumers, who receive a high-quality viewing experience, and creators, who are able to expand their reach, as well as monetize their enormous investments.

The authorized services that deliver this content to American viewers cater to every manner of consumer viewing model, including theatrical release, rental viewing, licensed-download, subscription viewing, and ad-supported viewing. In fact, the streaming video marketplace alone has become so robust that the FCC has already been able to subdivide it into five sub-categories: 1) subscription linear, such as Sling TV, Sony Vue, and Verizon; 2) subscription on-demand, such as Amazon Prime Instant Video, Hulu Plus, MUBI, and Netflix; 3) transactional on-demand, such as VUDU and Xbox Video; 4) ad-based linear and on-demand, such as Crackle, Hulu, Yahoo! Screen, and YouTube; and 5) transactional linear, such as Ultimate Fighting Championship.[2]

In addition, the Digital Entertainment Content Ecosystem consortium of more than 60 studios, retail store chains and technology firms has created "UltraViolet," a digital rights locker for audiovisual content that allows consumers to choose their retailer while having confidence that the quality and experience will be seamless across a wide range of devices. When a consumer purchases UltraViolet media – such as a Blu-ray, DVD or internet download – she also can access the content on any UltraViolet device registered to her household and stream the content through devices at home or on the go. More than 23,000 titles are available through UltraViolet, and consumers have set up more than 25 million user accounts, which have redeemed more than 175 million movies and television programs.

Disney Movies Anywhere similarly provides a cloud-based platform for authenticating access to Disney, Marvel, Pixar and Star Wars content across multiple digital video platforms and devices, including iOS, Android, Apple TV, Chromecast, Amazon Kindle Fire and Amazon Video Fire TV, Roku, Xbox360, and web browsers. Users simply connect their Disney Movies Anywhere account to their accounts with popular digital retail services, which currently include iTunes, Google Play, VUDU, Amazon Video, and Microsoft Movies & TV. Powered by

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[2] *See In re Promoting Innovation and Competition in the Provision of Multichannel Video Programming Distribution Services*, MB Docket No. 14-261, *NPRM*, FCC 14-210 at ¶¶ 13, 34. (rel. Dec. 19, 2014).

Disney's KeyChest technology, hundreds of titles purchased through these participating retailers, or redeemed using the Digital Copy redemption code included in Blu-ray disc packages, are instantly and seamlessly made available to the consumer for both streaming or download across their connected accounts via the Disney Movies Anywhere apps and website.

To help viewers navigate among all the choices, as well as avoid sites that contain pirated content and may expose users to malware, identity theft, and unseemly advertising, the MPAA created WhereToWatch (www.WhereToWatch.com). WhereToWatch is a free search site that enables fans to locate television shows and films by title, actor, or director and click through to lawful online sources, as well as see show times and buy tickets for movies still in theaters.

All of the digital products offered by MPAA member companies utilize technological protection measures. These technologies enable copyright owners to allow consumers to access, and share with their families, for example, content licensed to Netflix and Amazon, in conformity with the terms of service agreed to, such as continued payment of monthly subscription fees. They enable service providers to offer differentiated services that serve particular consumer desires, such as time-limited movie "rentals" at one price point, and permanent downloads at another. They also allow copyright owners to offer to consumers multi-faceted products like Blu-ray Discs with accompanying digital copies, subscription services with parental control options, time-limited downloads at bargain prices, and access via UltraViolet retailers and Disney Movies Anywhere. These pro-consumer benefits result from sophisticated technologies that are empowering, not restricting, movie and television lovers. The laws that protect against attacks on these technologies are crucial for continuing the increasing flexibility that the marketplace is currently yielding.

- *The Publishing Industry*

Digital technology has ushered in a new era of flexibility in publishing. Publishers are embracing digital technology to expand the relationship between readers and books by embedding multimedia, developing interactive courseware, improving functionality for the visually impaired, and embracing social media to connect authors to new audiences. But no matter the medium, publishers remain committed to creating great experiences that expand consumers' choice in how they access, enjoy and interact with books, journals and educational content.

Whereas thousands of books would once take up rooms of space, millions of books can now be stored in digital "cloud" libraries and readers can access them, anytime from anywhere, simply by tapping the screen of a pocket-sized device. Moreover, through the latest EPUB format for e-books, consumers are enjoying greater interactivity, more dynamic multimedia-enhanced content and more accessibility functionality.

Today, more than half of digital-device owners have an e-book reader application. These readers want on-demand access to books, journals and textbooks wherever they bring their digital device. Publishers are responding by exploring new delivery models made possible by modern technology. Through partnerships with online platform providers, technology companies and libraries, publishers are supporting more options for consumers and businesses to discover and read new works than ever before. These new models include digital subscriptions, e-lending, e-book rentals and print-on-demand.[3]

- *Subscription On Demand:* Publishers have always had many forms of subscription models for print (for example, journals, magazines, encyclopedia releases, serially published novels), and they are eagerly adopting many kinds of digital subscription services to give consumers fast, easy access to vast catalogues of e-books. Often viewed as "a Netflix for books," popular e-book subscription services include Scribd, Entitle, Kindle Unlimited and Safari Books Online, many of which give subscribers unlimited, multi-device access to hundreds of thousands of e-books for a small monthly fee. Publishers decide how much of their catalogue to post for subscription, such as only new releases and bestsellers, or entire backlists. The broad variety of models gives consumers great choice in pricing, device compatibility, duration of access (short-term to perpetual) and other features.

- *E-Lending:* All of the "Big 5" trade publishers (Hachette Book Group, Harper Collins, Macmillan, Penguin Random House, and Simon and Schuster) and many other publishers now offer some amount of electronic lending ("e-lending") of their fiction and nonfiction e-book titles by libraries. Many publishers are also testing out different business models to enable individuals to e-lend e-books among friends and family. The current atmosphere for testing new e-lending models is dynamic – publishers, distributors and libraries are exploring different models to find the best ways to bring e-books to new and interested audiences.[4] These lending models may differ by factors such as the amount of catalogue a publisher makes available for lending, pricing, number of checkouts, the number of allowed users and other variables.

- *E-Book Rental:* Sometimes someone only needs a chapter of a book or an article for a short amount of time. For instance, students often need a textbook for just a semester, and researchers may need just one journal article. To meet this demand, academic, professional and scholarly publishers are offering innovative rental models for e-textbooks and online journals. These new rental models offer additional flexibility in accessing such works – often with lower costs that typically vary by the length of rental time, the amount of the work rented (chapters, articles, etc.), and the number of titles readers can access at once.

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[3] For additional discussion of how TPMs are used in the publishing industry see *Chapter 12 Hearing*, 113th Con., 2d Sess., at 125 (Sept. 17, 2014) (written statement of Allan Adler of AAP).

[4] "With 95 percent of U.S. libraries now offering eBooks and audiobooks, the use of digital content continues to grow: More than 120 million eBooks and audiobooks were borrowed from libraries in the first nine months of 2015, representing year-over-year growth of nearly 20 percent." Press Release, OverDrive, *Public Libraries Evolving to Meet Readers' Needs in the Digital Age* (September 30, 2015), http://company.overdrive.com/news/press-releases/public-libraries-evolving-to-meet-readers-needs-in-the-digital-age/.

Rental options have saved students over $100 million so far through using CourseSmart, an e-textbook rental platform founded by several AAP-member publishers. In other cases, students may be able to access e-textbooks through their college bookstore and even extend the rental period beyond the college course. Similarly, several professional and scholarly publishers are partnering with online companies like DeepDyve to provide short-term access to the latest journal content, allowing time-limited rental of full e-articles for reading on Web-enabled devices, all at nominal rates. Besides saving from 30 to 90 percent off retail print prices, e-rental models like these often enable students, faculty and professionals to read the content online or offline, access it on multiple devices, take and share notes, perform full text searches, and sometimes even customize, print and copy the material.

- *Print On-Demand:* The same technological revolution that has made accessing e-books and online journals as easy as clicking a button has also made it possible to produce and distribute printed versions of the same works at any time, from anywhere in the world. This print-on-demand capability gives customers faster access to hard copies and reduces waste by allowing large and small publishers alike to print copies only as they are needed by partnering with distributors such as Lighting Source and On Demand Books. On-demand printing is making the book and journal publishing industry more efficient, more cost-effective and more "green" by reducing overhead costs and eliminating shipping, returns and pulping of unsold books while still providing high-quality output.

These types of business models, which benefit consumers and publishers greatly, would not be possible without technological protection measures, backed up by the legal provisions that prevent their circumvention.

- *The Music Industry*

Demand for music online is higher than ever. Legitimate online services that enable people to listen to and interact with music have continued to proliferate and are changing the way people consume music.[5] Consumers have never had so many choices for experiencing music legitimately and instantaneously. The music industry has launched a website, www.whymusicmatters.com, which is a resource for music fans interested in accessing one of the many authorized digital music services in today's marketplace. A similar website, www.pro-music.org, offers the same service on a worldwide basis. For these services to succeed and to sustain the creative community, strong protection of copyright, along with technological protection measures, are essential, as unauthorized disseminators of music continue to undermine the value of legitimate music sites.

Some of the exciting services available today include the following, with most offered on both in-home and mobile platforms:

[5] *See* Cary Sherman, *Valuing Music in A Digital World*, Forbes (Sept. 23, 2015), http://www.forbes.com/sites/realspin/2015/09/23/how-government-set-licensing-killed-the-music-industry/.

- Music is available for download through services like AmazonMP3, GhostTunes, Google Play, iTunes, 7digital, and several others, including in formats that allow consumers access across multiple devices for personal use without interoperability problems.

- Higher resolution music downloads, for greater fidelity, are available from services such as HDtracks, Pono, Presto Classical and Pro Studio Masters.

- Interactive, on-demand music streaming services such as Apple Music, Rhapsody, Spotify, and Tidal offer unlimited listening – on computers or smart phones – for modest monthly fees. They also offer to subscribers the ability to listen off-line.

- Free, ad-supported, audio-visual streaming sites, such as YouTube and VEVO, offer free streaming of music videos.

- Digital radio services, such as iHeartRadio, Pandora, and Sirius/XM, offer streaming audio on either an advertising supported basis or a subscription basis.

- Thousands of AM/FM stations are available as digital radio simulcasts.

- Licensed apps like Flipagram enable consumers to interact with music like never before by creating photo and video stories set to music.

Due to all of this innovation, in the first half of 2015, digital dissemination accounted for 76% of the overall U.S. recorded music market by value, compared with 59% for 2012.[6] In the U.S., digital subscription revenues increased in 2014, as sales of smartphones and tablets that promote use of streaming services increased streaming revenues sharply (in some cases, substituting for downloads).[7] In the first half of 2015, U.S. revenues from digital paid subscriptions were $478 million, up 25% from the previous year.[8]

Most of these digital services rely on technological protection measures to authenticate access and/or prevent unlicensed copying and distribution. Because of access controls, consumers can make low monthly payments to access unlimited amounts of music, while record labels and musicians have comfort that they will be compensated for their efforts. Music lovers can also download copies of recordings from their subscription services that enable listening when consumers are not connected to the internet. These time-limited downloads are the perfect example of how access controls and copy controls increase, rather than decrease, access to music.

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[6] *See* Joshua P. Friedlander, *News and Notes on 2015 Mid-Year RIAA Shipment and Revenue Statistics* 1 (Sept. 22, 2015), http://riaa.com/media/238E8AC7-3810-A95C-44DC-B6DEB46A3C6E.pdf [*hereinafter RIAA Shipment and Revenue Statistics*].

[7] IFPI Digital Music Report 2015, 7-8, http://www.ifpi.org/downloads/Digital-Music-Report-2015.pdf.

[8] *See RIAA Shipment and Revenue Statistics*, *supra* n. 6, at 2.

B. Section 1201 and "Core Copyright Concerns"

2. How should section 1201 accommodate interests that are outside of core copyright concerns, for example, in cases where circumvention of access controls protecting computer programs implicates issues of product interoperability or public safety?

Any consideration that is given to issues related to the interoperability of computer programs, or the use of access controls in a manner that might be considered separate from "core copyright concerns," must bear in mind that Congress' decision to separately protect access controls is a fundamental and essential component of section 1201, and is a key contributing factor to much of the growth that can be seen in the marketplace today. No changes to the statute or to the rulemaking process should be made to require a direct correlation between circumvention and the infringement of an exclusive right.

Although AAP, MPAA, and RIAA do not take a position on the general question of when taking steps to enable the interoperability of computer programs should be lawful, there is no reason that every product has to operate with every device. For example, the Librarian has repeatedly and correctly concluded that proponents have failed to support a need for circumvention to enable access to DVDs on Linux operated computers where developers have not agreed to the CSS licensing regime. *See, e.g.*, Exemption to Prohibition on Circumvention of Copyright Protection Systems for Access Control Technologies, Final Rule, 75 Fed. Reg. 43,825, 43,834-35 (July 27, 2010).

AAP, MPAA and RIAA use access controls for purposes that relate to "core copyright concerns." While not every act that is prevented by an access control would constitute copyright infringement if that control were hacked, enabling a person to listen to music, watch a movie, or read a book only after the consumer has properly paid for access to such content, and consistent with the terms on which access is granted, is directly related to the ability of copyright owners to earn revenue in return for making their works available on the internet.

For example, MPAA's members make motion pictures available for online viewing, in exchange for direct or indirect payment. Someone who circumvents access controls (such as password protection or other forms of authentication) to watch those movies for free violates section 1201(a)(1) – even if circumvention does not facilitate copying because, for example, copy controls remain in place to prevent reproducing the movie. Regardless whether a person can reproduce or further distribute copies of the work, the person obtains the ability to watch the movie for free. The harm to the copyright owner that this type of conduct causes is manifest, whether the work accessed is a book, a sound recording or a motion picture. Congress enacted section 1201(a) to prevent this type of circumvention, and in that way to facilitate digital commerce in the motion picture, music and publishing industries.

Indeed, the two explicit examples of unlawful circumvention of an access control contained in section 1201(a) involve "descrambl[ing] a scrambled work [and] decrypt[ing] an encrypted work" (17 U.S.C. §1201(a)(3)(A)) – conduct not directly tied to infringement. Nothing about descrambling or decrypting a work in-and-of-itself necessarily causes an act of infringement; descrambling or decrypting might only enable someone to watch or listen to the work without authorization, with no impact on the exercise of exclusive rights afforded under the Copyright Act. *See Anti-Circumvention Laws and Copyright: A Report from the Kernochan*

Center for Law, Media and the Arts, 27 Colum. J. L. & Arts 385, 450 (2004) ("Access controls are measures that prevent someone from viewing, reading, hearing and/or otherwise perceiving the work without authorization from the rightholder."); Paul Goldstein, II Goldstein On Copyright §7.17.1 (2015) ("Access to a work in the sense evidently contemplated by section 1201(a) occurs any time a user derives value from a work without necessarily infringing one of the exclusive rights secured by copyright.").

Therefore, anyone who traffics in a circumvention technology or service may be liable under section 1201(a) and/or 1201(b) without proof of infringement or facilitation of infringement. This interpretation is supported by the plain language of section 1201 and by its legislative history. *See* H.R. Rep. No. 105-551 (pt. 2), at 38 (section 1201(a)(2) "is aimed fundamentally at outlawing so-called 'black boxes' that are expressly intended to facilitate circumvention of technological protection measures for purposes of gaining access to a work"); S. Rep. No. 105-190, at 28 (analogizing 17 U.S.C. § 1201(a)(2) to 47 U.S.C. § 553(a)(2), prohibiting the manufacture or distribution of equipment intended for the unauthorized reception of cable television service, and 47 U.S.C. § 605(e)(4), banning the manufacture, assembly, import, and sale of equipment used in the unauthorized decryption of satellite cable programming). Case law also holds that no nexus to infringement is required for a section 1201(a) violation. *MDY*, 629 F.3d at 952 ("[W]e conclude that a fair reading of the statute (supported by legislative history) indicates that Congress created a distinct anti-circumvention right under § 1201(a) without an infringement nexus requirement."); *United States v. Elcom Ltd.*, 203 F. Supp. 2d 1111, 1124 (N.D. Cal. 2002) (rejecting argument that § 1201(b) requires facilitation of infringement); *Universal City Studios, Inc. v. Corley*, 273 F.3d 429, 443 (2d Cir. 2001) ("[T]he DMCA … does not concern itself with the use of [] materials after circumvention has occurred.").

C. Presumptive Renewal of Exemptions

3. Should section 1201 be adjusted to provide for presumptive renewal of previously granted exemptions—for example, when there is no meaningful opposition to renewal—or otherwise be modified to streamline the process of continuing an existing exemption? If so, how?

AAP, MPAA and RIAA believe that the current ground rules for the triennial rulemaking proceeding are fair, practical, and consistent with Congress' instructions. The proceeding regularly results in the issuance of a large number of exemptions; indeed the number of exemptions granted has increased markedly over the past several rulemaking cycles, and in the most recent cycle, exemptions were recognized in the great majority of categories for which they were sought.[9] Accordingly, continued complaints regarding the proceeding, and calls for a dramatic reorganization to lessen the burdens on proponents of exemptions, ignore the reality of the prior processes. The Register and the Librarian have been very receptive to the concerns expressed by exemption proponents and have implemented methods to ensure that even parties who lack counsel have the ability to obtain exemptions, if justified.

However, AAP, MPAA and RIAA recognize that certain exemptions have been in place for multiple cycles and that there are burdens associated with seeking renewal of these

[9] Whereas the first triennial rulemaking only resulted in exemptions for two classes of works, the 2015 proceeding resulted in exemptions covering twenty-two types of uses of copyrighted works.

exemptions. Thus, they are not opposed in principle to the Register recommending renewal of existing exemptions to the Librarian so long as there is no meaningful opposition to renewal. However, doing so when the record includes no filings by proponents of the exemption could lead to the renewal of exemptions for which there is no demand, which would run counter to the design of the proceeding as a triennial review of the marketplace.

Under the existing statutory provisions, if a proponent submits comments to the Register stating that the exemption has been used and that the circumstances that justified granting the exemption during the prior cycle remain unchanged, and no opponent presents meaningful opposition to rebut that claim, the Register can recommend to the Librarian that the exemption be renewed without change.

As the Copyright Office has previously stated:

> [W]here a proponent is seeking the readoption of an existing exemption, it may attempt to satisfy its burden by demonstrating that the conditions that led to the adoption of the prior exemption continue to exist today (or that new conditions exist to justify the exemption). ... Assuming the proponent succeeds in making such a demonstration, it is incumbent upon any opponent of that exemption to rebut such evidence by showing that the exemption is no longer justified.

Exemption to Prohibition on Circumvention of Copyright Protection Systems for Access Control Technologies, Notice of Inquiry and Request for Petitions, 79 Fed. Reg. 55,687, 55,690 (Sept. 17, 2014).

Such a process would be consistent with Congress' instruction that the Register's findings must be made *de novo*. *See* H.R. Rep. No. 105-551, pt. 2, at 37. If a proponent asserts that adverse impact of the kind previously demonstrated to exist would be felt and no one opposes that assertion, the Register may conclude, without further comments or hearing testimony, that adverse impact is more likely than not, and grant the exemption under the existing preponderance of the evidence standard. AAP, MPAA, and RIAA do not object to the Register doing so in future proceedings.

As has been shown in recent rulemakings, stakeholders have evidenced a willingness not to stand in the way of renewal of prior granted exemptions, even where they had mounted opposition to them in the past. *See, e.g.*, March 27, 2015 Comments of ESA, MPAA and RIAA in response to NPRM on Proposed Class 7 ("Non-commercial remix videos"), http://copyright.gov/1201/2015/comments-032715/class%207/Joint_Creators_and_Copyright_Owners_class07_1201_2014.pdf); Feb. 6, 2015 Comments of AAP in response to NPRM on Proposed Class 9 ("Literary works distributed electronically – assistive technologies"),http://copyright.gov/1201/2015/comments-020615/InitialComments_ShortForm_AAP_Class09.pdf. This shows the rulemaking process is working as intended, and there is no reason to revise the statute.

D. Satisfying Requirements for Exemptions

4. Please assess the current legal requirements that proponents of an exemption must satisfy to demonstrate entitlement to an exemption. Should they be altered? If so, how? In responding, please comment on the relationship to traditional principles of administrative law.

At the outset of each triennial rulemaking proceeding, the Register provides a detailed overview of the legal requirements that proponents of exemptions must satisfy to demonstrate entitlement to exemptions. *See, e.g.,* 79 Fed. Reg. at 55,687-55,691. Those requirements were established by Congress and have worked well, for the most part, for nearly two decades. Given the risks associated with circumvention of access control technologies, it is essential to preserve the requirement that proponents establish, by a preponderance of the evidence, that "substantial" adverse impacts, caused directly by access control measures themselves, and not by "marketplace trends, other technological developments, or changes in the roles of libraries, distributors or other intermediaries," will occur absent an exemption. Staff of House Comm. On the Judiciary, 105th Cong., Section-by-Section Analysis of H.R. 2281 as passed by the United States House of Representatives on August 4, 1998, at 6 (Comm. Print 1998) (''House Manager's Report''). It is also essential that the Register continue to consider "the positive as well as the adverse effects of these technologies on the availability of copyrighted materials." *Id.* Accordingly, AAP, MPAA and RIAA do not see a need to alter the ground rules for the proceeding. However, they look forward to reviewing any proposals submitted in response to the NOI and to providing any input they have on those proposals.

E. Potential Improvements to Rulemaking Process

5. Please provide additional suggestions to improve the rulemaking process.

As stated above, AAP, MPAA and RIAA believe that the rulemaking process has, for the most part, worked well. Nevertheless, there are a few procedural aspects of the process that could be improved and/or clarified. All of these improvements could be made without amending the statute.

- The Copyright Office should request, in post-hearing letters, comment from hearing participants on the actual regulatory language that the Register intends to recommend to the Librarian for defining exemptions. Doing so would allow participants to provide comments and insights regarding the drafting and would help to alleviate confusion regarding the scope of exemptions.

- While we appreciate the Office's attempts during the 2015 cycle to streamline the rulemaking by creating "clean" records on each of the proposals, we think there should be some mechanism by which testimony submitted during the public hearings may be taken into account by the Register and the Librarian in consideration of each of the proposed exemptions regardless of the specific exemption proposal for which the testimony was originally submitted. Witnesses, whether they be executives of large corporations or individual consumers, should not have to appear multiple times, or on multiple coasts, when their testimony is relevant to multiple proposals.

- The Copyright Office should provide proponents and opponents of exemptions equal opportunity to comment on the proposed exemptions. During the last cycle, proponents were allowed three opportunities to comment, whereas opponents were only allowed to file one set of comments.

- The Copyright Office should articulate its position regarding the proper procedure for seeking judicial review of the Librarian's Final Rules. It would be helpful for all participants to understand whether the Register has concluded that the proceeding determinations of the Librarian can be challenged under the APA or otherwise appealed.

F. Role of Section 1201's Anti-Trafficking Provisions

6. Please assess the role of the anti-trafficking provisions of sections 1201(a)(2) and 1201(b) in deterring copyright infringement, and address whether any amendments may be advisable.

AAP, MPAA, and RIAA oppose amending the anti-trafficking provisions of sections 1201(a)(2) and 1201(b) to legalize the sale and distribution of hacking tools and services. These provisions play an extremely important role in deterring copyright infringement and unauthorized access to works. If the distribution of hacking tools that undermine the integrity of technological measures, and the offering of such services, becomes legal and widespread, the public's perception of what these products can legitimately be used for could become confused, resulting in frustration and abuse. Unfortunately, circumvention tools designed to enable lawful uses would inevitably also enable unlawful uses, as there is no way to effectively control the application of such tools once they are in the stream of commerce. This was exactly the reason Congress adopted the policy reflected in sections 1201(a)(2) and 1201(b), and there is no reason to conclude that the policy is any less justified today. Without strong anti-trafficking provisions, the rise of a market in circumvention devices and services, ostensibly for the purpose of engaging in permitted acts of circumvention, but primarily fostering illegal uses, would be practically unavoidable. Such an outcome would undermine the entire regime of protection for TPMs; threaten the benefits this regime has provided to the continued growth of the digital distribution market; and imperil U.S. compliance with its obligations under the WCT and WPPT.

G. Relationship Between Rulemaking and Anti-Trafficking Prohibitions

7. Should section 1201 be amended to allow the adoption of exemptions to the prohibition on circumvention that can extend to exemptions to the anti-trafficking prohibitions, and if so, in what way? For example, should the Register be able to recommend, and the Librarian able to adopt, exemptions that permit third-party assistance when justified by the record?

AAP, MPAA, and RIAA oppose amending the statute to allow the Librarian to grant exemptions to the anti-trafficking prohibitions. As stated above, tools designed to enable lawful uses would inevitably also enable unlawful uses as there is no way to effectively control the application of such tools once they are in the stream of commerce. When tools and services designed to circumvent access controls and copy controls become widely available, that availability impacts both the integrity of the technological protection measures and the public perception regarding the acceptability of using the tool designed to circumvent those measures, including for unlawful purposes.

Congress carefully considered the issue of trafficking during the legislative process that resulted in passage of the DMCA. There is a good reason why "[t]he anti-trafficking prohibitions of section 1201 … prevent the adoption of exemptions that permit third parties to offer circumvention services." 80 Fed. Reg. at 81,372. Altering that rule would allow tools designed to defeat effective technological protection measures to enter the mainstream of commerce and encourage profiteers to mislead consumers regarding what an exemption allows in order to sell them illicit services and tools under the guise of the Copyright Office's blessing. Indeed, we have already seen widespread misunderstanding of the scope of recognized administrative exemptions to section 1201(a)(1) and misrepresentation of the scope of such exemptions by those who would benefit from the resulting confusion by making circumvention tools more widely available under a false veneer of legality.[10] There is simply no way to address, in regulatory language, the risks associated with opening Pandora's box.

Copyright owners have already encountered traffickers arguing that they can skirt the statutory prohibitions by designing tools that supposedly only enable alleged fair uses. *See, e.g.*, *Realnetworks, Inc. v. DVD Copy Control Ass'n*, 641 F. Supp. 2d 913, 941-42 (N.D. Cal. 2009). Granting exemptions applicable to certain trafficking activities would provide wrongdoers with a shield during litigation, making enforcement of rights even more difficult. Moreover, the number of litigations against traffickers would almost certainly see a significant uptick, and copyright owners would be forced to shoulder the financial burden of enforcing their rights against bad actors seeking to abuse exemptions. The rulemaking is not the proper forum for consideration of anti-trafficking exemptions.

H. Status of Existing Permanent Exemptions

8. Please assess whether the existing categories of permanent exemptions are necessary, relevant, and/or sufficient. How do the permanent exemptions affect the current state of reverse engineering, encryption research, and security testing? How do the permanent exemptions affect the activities of libraries, archives, and educational institutions? How might the existing permanent exemptions be amended to better facilitate such activities?

At this time, AAP, MPAA and RIAA are not aware of any circumstances that would rise to the level of justifying legislative revision of section 1201. Very little litigation has touched on the scope and interpretation of the existing statutory exceptions to the anti-circumvention and anti-trafficking prohibitions. Accordingly, there is no proven defect in these statutory provisions. If they were not serving their purpose, litigation in the areas addressed by the statute likely would be more common.

[10] During the triennial rulemaking proceedings, exemption proponents frequently cite examples of projects they have undertaken, purportedly pursuant to exemptions, that clearly do not fit within the scope of the exemptions. For example, in support of renewing the exemption for use of short portions of motion pictures in educational courses involving "close analysis" of media, a proponent cited an example of an English professor who used the exemption to show both film clips and "longer extracts from films" set in Medieval times in courses on Medieval literature and culture. Feb. 6, 2015 Joint Academics' Class 1 Comment at 8. Studying medieval culture and engaging in close analysis of films are two very different things.

I. Sufficiency of Existing Permanent Exemptions

9. Please assess whether there are other permanent exemption categories that Congress should consider establishing—for example, to facilitate access to literary works by print-disabled persons?

AAP, MPAA and RIAA do not recommend creating any new statutory exceptions. An existing regulatory exemption is in place to aid print-disabled persons and "authorized entities" under section 121 of the Copyright Act. 37 C.F.R. § 201.40(2). There have never been any public threats or actions under section 1201 against any print-disabled persons or authorized entities. The Copyright Office rulemaking's periodic review of the marketplace enables the Register to assess the circumstances facing copyright owners and consumers every three years. These proceedings have the benefit of a manner of flexibility that statutory amendments resulting in permanent exceptions do not. No convincing justification has been proffered as to why the real-time reviews of the marketplace conducted by the Register should be discarded in favor of permanent, statutory exceptions.

J. Treaty and Trade Agreement Requirements

10. To what extent and how might any proposed amendments to section 1201 implicate the United States' trade and treaty obligations?

While there are trade and treaty obligations that could come into play, these obligations reflect the importance of effective protection of intellectual property to our economy (as well as to the economies of our trading partners), which includes effective measures against circumvention of TPMs and trafficking in circumvention devices. Thus, U.S. trade obligations reflect our economic, social and cultural interests, and the trade negotiating objectives established by Congress. In short, our trade "obligations" are not imposed on the U.S. by other parties, but are a mutual acknowledgement of a set of international norms and baseline protections for creativity and innovation. A departure from these, whether at the international level or domestically, would undermine U.S. interests, and depart from the common views of policymakers about how to expand commercial opportunities for creators and innovators.

Now that we have reached a consensus with many of our trading partners regarding these international norms and baseline protections, it would be counterproductive to reverse course and seek to weaken protections for access controls and copy controls. The adoption of very similar approaches around the world to protecting technological measures demonstrates that the approach taken by the United States is robust enough to stand the test of time.

IV. Conclusion

AAP, MPAA and RIAA look forward to participating in the Copyright Office's process for studying section 1201 of Title 17.

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Respectfully submitted:

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